

JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT
JUDGMENT

Insurance Appeal No.29992/2022

Adamjee Insurance Company
Limited

VS.

Muhammad Ramzan
and another

Date of hearing	29.04.2025
Appellant by	Mr. Ahmad Farooq, Advocate
Respondent No.1 by	Mr. Munir Ahmed Khan Sadhana, Advocate
Respondent No.2 by	Mr. Saifullah Maan, Advocate

Ch. Muhammad Iqbal, J:- This is an Insurance Appeal under Section 124(2) of the Insurance Ordinance, 2000 against the judgment dated 05.03.2022 passed by the learned Insurance Tribunal, Jhang whereby the application of respondent No.1 for recovery of claim of loss of crops and livestock was accepted.

2. Brief facts of the case as contended by learned counsel for the appellant are that the respondent No.1 filed an application for recovery of claim for loss of crops and livestock/sheep, loan insurance from Rabi 2014-20115 outstanding amount Rs.2,62,000/- alongwith liquidated damages under Section 118 of Insurance Ordinance, 2000 against the appellant and respondent No.2 with the contention that the respondent No.1 availed loan facility amounting to Rs.262,000/- from respondent No.2/Zarai Taraqiati Bank in the month of September, 2014 by mortgaging his land which loan was compulsorily got insured with appellant as per the directions of the State Bank of Pakistan. That unfortunately, a devastating flood came in the area which badly affected Moza Maasan, District Jhang and due to said disaster,

the respondent No.1 suffered heavy loss of crops, animals and house.

The respondent No.1 filed an application before the appellant and respondent No.2 for the payment of insurance claim and also filed an application for supplying the copies of complete loan documents alongwith crop loan facility. The respondent No.2 in collusion of the appellant refused to pay the claim as well as supply the documents. The respondent No.1 contended that the appellant and respondent No.2 are liable to pay the entire claim of insurance as the flood has demolished the entire crops and livestock of the respondent No.1. The appellant filed contesting written reply and also filed an application under Order VII Rule 11 C.P.C. for rejection of the insurance claim. The application under Order VII Rule 11 C.P.C was dismissed. The appellant asserted that the appellant was dealing with respondent No.2 and had no direct nexus with the farmer/respondent No.1. The respondent No.2 also filed contesting written reply. The learned Insurance Tribunal, Jhang framed issues, recorded evidence and vide judgment dated 05.03.2022 granted relief to the respondent No.1 as under:

“18.... instant application is accepted to this effect that:-

- Petitioner is held entitled to recover claim of loss for only one crop i.e. Kharif, 2014 (Rs.131,000/-) alongwith liquidated damages @ 5% u/s 118(2) of Insurance Ordinance, 2000 from the date of loss i.e. October, 2014.
- AICL/respondent No.1 is directed to deposit the said claim of loss for only one crop i.e. Kharif, 2014 (Rs.131,000/-) alongwith liquidated damages @ 5% u/s 118(2) of Insurance Ordinance, 2000 from the date of loss i.e. October, 2014 in the head of ZTBL/respondent No.2.
- ZTBL/respondent No.2 is also directed to adjust the said insurance claim amount in the account of borrower/Muhammad Ramzan (petitioner).”

Being dissatisfied with above dictum, the appellant has instituted the instant Insurance Appeal.

3. Arguments heard. Record perused.
4. The controversy involved in this case is centered upon issues No.1 which is reproduced as under:

“Whether the petitioner is entitled to recover claim of loss of crops and livestock/sheep loan under insurance policy amounting to Rs.2,62,000/- alongwith liquidated damages on the basis of insurance policy on the facts taken in the application? OPA”

Muhammad Ramzan, the respondent No.1/claimant himself appeared as A.W.1 and deposed that:

“I owned my agricultural land measuring about 03/04 Acre on which I applied for agricultural loan to the Zarai Taraqati Bank, old Shah-Jewna, now the name of branch is Chund Bharwana by mortgaging my agri land. I availed loan facility for the amount of Rs.2,62,000/-. My loan was pertaining to crops which was attached with crop/loan insurance policy, as per direction of State Bank of Pakistan through Adamjee Insurance Company in the year 2014-2015.

Unfortunately in September 2014, heavy flood badly effected Mouza Massan which was entirely under this natural disaster and my crops, animals, house and everything were entirely vanished and damaged. Due to this calamity disaster Member Board of Revenue and Government of Punjab declared this area as a calamity effected area vide his notification No.260-2014/536/Cr-III, dated 24.09.2014, and village Mouza Massan was also notified as calamity effected village. My all crop and animals were under cover of loan insurance through respondent No.2 with Adamjee Insurance Company. After this I placed claim before the respondent No.2 to process and similar application was placed before the respondent No.1 with the request to visit the spot and as per terms and condition of insurance policy pay the outstanding amount in the name of applicant along with liquated damages, but both the respondents refused to process the same and deposit loan amount outstanding against the applicant with the bank...”

During cross examination, he deposed that:

“I obtained loan from ZTBL Shah Jewna Branch, Jhang...I annexed with the application, the policy letter of State Bank of Pakistan....I appended with the application, the copy of record of rights as proof of may ownership, all the relevant documents....At the time of flood, we contacted with representative of Adam Jee insurance company...”

5. Conversely, Zeeshan Haider, Joint Senior Manager, Adamjee Insurance Company appeared as R.W.1 and submitted his affidavit in the shape of examination-in-chief as Exh.R.1/A and controverted the stance of the respondent No.1/claimant. During cross examination, he deposed that:

"Ex.R3 کے مطابق ہر بینک 5 فصلات کما د+ چاول+ گندم+ کاٹن اور مکئی کے قرضہ جات کو انشورنس کے بغیر جاری نہیں کرتی۔ آدم جی انشورنس مختلف بینکوں کے بینل پر ہے۔ انشورنس کرتی ہے۔ زرعی ترقیاتی بینک کا قرضہ آدم جی انشورنس انشورڈ کرتی ہے۔ اور اس طرح کارپوریشن بینک کا قرضہ انشورڈ کرتی ہے۔ Ex.R3 سٹیٹ بینک کی گائیڈ لائنز ہے۔۔۔ ہم آدم جی نے بینک کو MAXIMUM LIABILITY ادا کر دی تھی۔۔۔ یہ درست ہے کہ ہر لون کیس انشورڈ ہوتا ہے۔ اس کا پریمیم علیحدہ ادا ہوتا ہے اور اس طرح علیحدہ نقصان ہوتا ہے جو کلیم کیا جاسکتا ہے۔۔۔ Crop کراپ لون انشورڈ ہوتی ہے۔۔۔ بینک کے مطلع کرنے کے بارے میں ریکارڈ نہ لایا ہوں۔ بینک کارپورڈ بابت واپسی رقم نہ لایا ہوں۔ پریمیم بینک ادا کرتا ہے۔۔۔ انشورنس پالیسی نمبر کارپورڈ نہ لایا ہوں۔۔۔"

Admittedly, the respondent No.1 obtained loan of an amount of Rs.262,000/- from the respondent No.2/bank against crops and the said crops were insured with the appellant/Insurance Company. The respondent No.1 claimed that due to heavy flood in the area where his land was situated, he suffered heavy loss of crops and livestock and the entire Moza was badly affected from that flood due to which the Government of the Punjab declared the said Moza as calamity affected area vide notification dated 25.09.2014. For ready reference, the relevant portion of Notification No.260-2014/609/CR.III dated 25.09.2014 is reproduced as under:

"In exercise of the powers conferred upon him under Section 4(2) of the Punjab National Calamities (Prevention and Relief) Act, 1958 (XXXIII of 1958), the whole of the Development Cess Local Rate, Agricultural Income Tax and Water Rate (Abiana) relating to Kharif Crops-2014 in respect of following 272 villages/revenue estates of District Jhang (107 villages/revenue estates of Tehsil Jhang, 97 villages/revenue estates of Tehsil 18-Hazari, 18 villages/revenue estates of Tehsil Shorkot and 50 villages/revenue estates of Tehsil Ahmad Pur Sial) which were badly affected due to Flood-2014 as calamity affected area vide Notification No.260-2014/536/CR.III, dated 24th September, 2014, are hereby remitted."

6. Further, as per clause 13 of agreement dated 26.08.2014 on Crop Loan Insurance Scheme (Exh.R-5), in case of large scale catastrophe / calamity, appellant will indemnify the insured up to 300% of the premium collected for Rabi & Kharif separately, based on 100% premium. The area where land of the respondent No.1 is located, was declared as calamity affected area by the government/Board of Revenue vide notification dated 25.09.2014. As such, the claim of the respondent No.1 is fully covered in the said policy. The appellant claims that as per the Claim Acceptance Form / Exh.R.6 the insurance claims of the loss caused/occasioned by rains/flood/drought on different farms for all loan cases located in calamity affected areas declared by the government till 30.11.2014 have been paid. The appellant claims that on the basis of said document/Exh.R.6, the claim of respondent No.1 was also given to the bank but the appellant has not produced any representative of the bank to prove that the said claim has been given to the respondent No.1/claimant.

7. As regard the objection raised by learned counsel for the appellant that the documents were produced by counsel of the respondent No.1 as such these documents cannot be considered, suffice it to say that the said documents pertain to the record of the appellant as well as that of respondent No.2 which has not been controverted by the appellant through convincing evidence. Further the other documents pertain to public record which were prepared, maintain and issued by the government and same have presumption of correctness which official documents are per se admissible in evidence and even validity or veracity of said instrument were not under question in the present lis as such it does not make any effect on the case of the respondent No.1 and even this Court has jurisdiction to take judicial notice of such public documents. Thus, the argument of learned counsel for the appellant being devoid of any force is hereby repelled.

8. In this case, the respondent No.1 availed loan facility from respondent No.2/bank by mortgaging his land. The loan was compulsorily insured with the appellant. The area where the land of the respondent No.1 was situated, badly affected by flood upon which it was declared calamity hit area vide notification dated 25.09.2014. The meager amount of insurance claim Rs.1,31,000/- of the insured / respondent No.1 is pending against the appellant and it is legal right of the respondent No.1 to recover the same. The Hon'ble Supreme Court of Pakistan in a case titled as Pakistan through Chairman FBR and others Vs. Hazrat Hussain and others (2018 SCMR 939) has held that the departments should not file appeals/ revisions as a matter of routine resulting into wastage of public time and money.

9. Learned counsel for the appellant has not pointed out any illegality or material irregularity, misreading and non-reading of evidence in the impugned judgment passed by the learned Insurance Tribunal and has also not identified any jurisdictional defect.

10. Resultantly, this appeal being devoid of any merits is hereby **dismissed**. No order as to costs.

(Malik Waqar Haider Awan)
Judge

(Ch. Muhammad Iqbal)
Judge

Approved for reporting.

Judge

Judge